BOARD OF CBA
MINUTES

(15.08.2017)

Refinancing Rate of August 15, 2017

The CBA Board Meeting of August 15, 2017 attended by Chairman Arthur Javadyan, Deputy Chairmen Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Ashot Mkrtchyan, Armenak Darbinyan and Oleg Aghasyan

The Board meeting opened with presentation of Situation Report as of August 15, 2017. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

As summed up in the record, inflation in the first half of 2017 has been slightly higher than expected. Driven by a seasonal sharp drop in prices for agricultural products, certain fall in prices was recorded in July, as compared to the same period of the previous year, and the 12-month inflation rate has reduced, as a result. Meanwhile, core inflation has been increasing since the beginning of the year; this bears the impact of rebounding domestic demand, which is primarily driven by expansionary monetary policy implemented by the Central Bank, while the fiscal policy implemented in the first half of the year has been contractionary.

Discussing the economic situation at the meeting, the Board admitted that economic activity has been high enough over the first half of 2017, largely due to the supply factors, such as high productivity growth registered in the industry and services sectors. In view of these developments, the Central Bank has revised the economic growth forecast upside in the third quarter's Monetary Policy Program, too. With domestic demand bouncing back, considerably high growth rates in import of goods, which have outpaced those of export of goods, leading to a slowdown in growth rates of net external demand.

For external sector, it was stated that the developments, which, too, were mostly in line with the scenario during the second quarter of 2017. Economic growth trends persisted, while prices sought to stabilize in the world's raw material and food product markets. Following the discussion, the Board assessed that in the coming months these trends will be maintained and, in such a situation, no significant inflationary effects from the external sector are likely.

The Board also discussed the developments in financial market, admitting that short-term market rates have dropped due to a high level of excess liquidity in the banking system, and that these interest rates were rather lower from the policy rate.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began discussing the monetary policy directions and the interest rate decision-making. The Board stated in a consensus that actual macroeconomic developments are mainly in line with the scenario as outlined in the second quarter's program, no significant inflationary effects from both external and domestic environment are expected and inflationary risks remain balanced. On the basis of the statement mentioned above, the Board found it reasonable to leave monetary conditions unchanged, maintaining that they contribute to further restoration of inflation and attainment of the target in the forecast horizon. As a result, it is estimated that the ***negative GDP gap*** will phase out at the start of 2018 and the ***12-month inflation rate*** will be within the confidence band by the end of the year while in the remaining part of the forecast horizon it will continue to grow, stabilizing around the 4% target.

The Board believes that should macroeconomic developments unfold as predicted, the policy rate would remain expansionary for some time, and in the event inflation and macroeconomic indicators essentially deviate from their projection, the monetary policy directions will be adjusted accordingly, ensuring the fulfillment of inflation target in the medium run.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD RESOLUTION

Interest rates of operations by the Central Bank in the financial market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia ***enacts:***

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 6.0%.

2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:

2.1 Lombard facility rate offered by the Central Bank to be 7.5%.

2.2. Deposit facility rate offered by the Central Bank to be 4.5%.

3. This resolution shall take force on the day following the adoption thereof.

Arthur Javadyan,

Chairman of the CBA

PRESS RELEASE

15.08.2017

On the August 15th of 2017 meeting the Board of the Central Bank of Armenia decided to leave the refinancing rate unchanged, at the 6.0% level.

At the end of the second quarter of 2017 the 12-month inflation rate was 1.1%, which was 0.3 pp higher than the level as anticipated in the monetary policy program for the second quarter. In July 2.6% deflation was recorded due to the seasonal fall in prices of agricultural products, and the 12-month inflation rate has reduced slightly, amounting to 0.9% as of end-July.

In the external environment, the global economic growth outlook is further improving, and prices in international commodity markets have shown trends of stabilization. Based on this, the Board of the Central Bank expects no significant inflationary effects from the external sector in the forthcoming months.

The Board notes that, according to the actual second quarter of 2017 data, the economic activity remained strong and domestic demand continued recovering. This, under the currently implemented contractionary fiscal policy, is determined by expansionary monetary policy of the Central Bank.

In consideration of this situation, the Board of the Central Bank finds it reasonable to leave the monetary conditions unchanged. This will gradually increase the inflation as a result – it will be shaping within the confidence band by the end of 2017 and will stabilize around the target in the forecast horizon. The Central Bank believes that if the macroeconomic developments proceed with the predicted scenario, the monetary conditions will remain expansionary for a while.

However, should there emerge risks to the economic growth outlook and inflation deviating from its recovery path, the Central Bank would react by adjusting its monetary policy directions accordingly, while fulfilling the inflation target in the medium run.

Press Service of the Central Bank of Armenia